bottomed at 11.23, or 27% below the high price (15.30) reached just before the throwback.

After the stock bottomed, it looked like a triple bottom, which saw the stock recover and confirm, too.

The stock bounced up and down around the triple bottom's confirmation price. On 14 November 2002, I wrote, “I'm going to sell my shares at market open. CCI [commodity channel index] shows negative divergence and that's the key issue. Other airline stocks are bumping against overhead resistance, so I expect a decline. Although it's November, a good holding period, I think a short-term decline from a budding AADT [Adam & Adam double top] is in order. We could drop to 13, maybe 12. Then buy it back. For now, take the money and run.”

I sold at 15 and made 20% on the trade, including a small dividend. If I had stayed in the trade for 2 more weeks, I could have sold at the ultimate high of 16.70. After that, the stock tumbled by 30%.

- Lesson: Wait for the breakout; otherwise you risk losing 48% of the time. In this case, buying early worked well.
- Lesson: If it was a swing trade (it wasn't supposed to be), having a defined exit price of 15 would have cashed me out in about a week (when the stock peaked at 15.30).
- Lesson: I no longer use indicators. This took me out of the trade too soon, but at least I didn't ride the stock back down.

Sample Trade

Randy traded the stock shown in Figure 26.6 and made a tidy sum of money. Let me tell you how he did it. First he qualified the pattern as a true double bottom by reviewing the identification characteristics listed in Table 26.1. Briefly, the stock started down in early January after a long-term uptrend that began in February 1995 (not shown).

The twin bottoms were narrow with one-day downward spikes. The rise between bottoms measured 29%; the bottom lows were 1% apart in price